EXECUTIVE SUMMARY

1. Introduction

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran. It became a town through a bill introduced by Congressman Paulino Alonzo of the second district of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality.

The audit covered the accounts and operations of the Municipality of Abulug for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P192,053,840.49, P24,932,211.36 and P167,121,629.13, with an increase of 21.71%, 2.93% and 25.12%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P126,042,212.26 and P91,174,816.67, which increase by 12.01% and 18.45% respectively from last year's figures.

Particulars	2017	2016	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	P192,053,840.49	P157,794,655.75	P34,259,184.74	21.71%
Liabilities	24,932,211.36	24,223,558.58	708,652.78	2.93%
Govt. Equity	167,121,629.13	133,571,097.17	33,550,531.96	25.12%
Financial Performance				
Income	P126,042,212.26	P112,531,606.86	P13,510,605.40	12.01%
Expense	91,174,816.67	76,974,988.84	14,199,827.83	18.45%
Appropriations, Allotments and Obligation				
Appropriations	P127,974,999.96	P110,500,000.00	P17,474,999.96	15.81%
Allotments	127,993,999.96	110,500,000.00	17,493,999.96	15.83%
Obligations	118,111,009.07	103,353,038.54	14,757,970.53	14.28%

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

Particulars	2017	2016	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	461,200.00	357,200.00	104,000.00
Due from GOCCs	-	-	-
Due from LGUs	3,010,000.00	580,000.00	2,430,000.00
Due from NGOs/Pos	193,319.10	193,319.10	-
Others	-	-	-
TOTAL	**3,664,519.10**	**1,130,519.10**	**2,534,000.00**
Fund Received from Other Agencies:			
Due to Other NGAs	-	-	-
Due to LGUs	332,156.69	321,593.39	10,563.30
Due to NGOs/Pos	-	-	-
Others	-	-	-
TOTAL	**332,156.69**	**321,593.39**	**10,563.30**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P125,871,748.66 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

4. Summary of Significant Audit Observations and Recommendations

For the CY 2017, the Municipality of Lasam, Cagayans is one of the qualifiers in the Search For Best 2017 LGSF-ADM Implementer conducted by the Department of Interior and Local Government (DILG).

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality:

1. Cash Advances to Officers and Employees totalling P12,939,788.58, remained unliquidated as at year-end contrary to Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997.

   We recommended that Management:

   a. Submit immediately the liquidation papers of the cash advances or refund the cash if not used/spent.

b. Exert effort to determine the specific details of the unaccounted balance of unliquidated cash advances amounting to P2,628,527.17.
c. Strict compliance with Section 89 of P.D. 1445 and COA Circular 97-002 in the granting and utilization of cash advances.

2. The Municipality's Solid Waste Management Plan has not been duly approved by the National Solid Waste Management Commission in Violation of Section 16 of Republic Act No. 9003. Thus, it deprived the constituents of the municipality to a systematic, comprehensive and ecological solid waste management program on better protection of public health and environment.

   We recommended that the Management cause the immediate preparation of all lacking documents needed and submit the same to the National Solid Waste Management Commission for approval to ensure that the programs and activities laid under the Solid Waste Management Plan are consistent with the National Solid Waste Management Framework and to ensure that the municipality adopted a systematic, comprehensive, and ecological waste management program.

3. The unexpended balance of the Local Disaster Risk Reduction and Management Fund (LDRRMF) totaling P4,958,469.09 was not transferred to the Special Trust Fund, contrary to Section 21 of R.A. 10121, otherwise known as the Philippine Risk Reduction and Management Act of 2010 and COA Circular No. 2012-002 dated September 12, 2012, thus could hamper the implementation of the LGU's disaster risk reduction and management programs and relief and recovery operation in case calamity occurs.

   We recommended that the Municipal Accountant prepare Journal Entry Voucher to transfer the unexpended balance of LDRRMF-QRF and MOOE to the Trust Liability-DRRM account for the purpose of supporting disaster risk reduction and management activities as required by Section 21 of R. A. 10121 and COA Circular 2012-002.

4. Bank reconciliation statements were not prepared and submitted to the Office of the Auditor during the year in violation of COA Circular No. 96-011 dated October 2, 1996 and Section 122 of P.D. 1445, thereby affecting the reliability and accuracy of the Cash in Bank Account balance amounting to P33,471,259.27 as of December 31, 2017 in the agency's records.

   We recommended that Management prepare and submit to the Office of the Auditor the required bank reconciliation statements pursuant to Section 3.2 of COA Circular No. 96-011 dated October 2, 1996 and Section 122 of P.D. 1445 to establish accurate balances of all cash in bank accounts.

5. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	219,895.45	17,949,365.00	-	18,169,260.45	-
Current Year	-	-	-	-	-
Total	**219,895.45**	**17,949,365.00**	**-**	**18,169,260.45**	
Disallowances					
Prior Years	2,052,800.95	-	1,050,950.26	1,001,850.69	51.20%
Current Year	-	-	-	-	-
Total	**2,052,800.95**	**-**	**1,050,950.26**	**1,001,850.69**	**51.20%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the nineteen (19) audit recommendations contained in the Annual Audit Report for Calendar Year 2016, nine (9) were fully implemented, six (6) was not implemented and four (4) were partially implemented.